

Same Data, Different Stories

Lecture 2 Activity: Inflation & Graph Design

Pathways: Economics & Finance Workshop

Summer 2026

Context

In August 2022, the U.S. government signed the **Inflation Reduction Act**. The table below shows the monthly inflation rate (CPI, year-over-year % change) for all of 2022.

Month	Inflation (%)	Month	Inflation (%)
January	7.5	July	8.5
February	7.9	August	8.3
March	8.5	September	8.2
April	8.3	October	7.7
May	8.6	November	7.1
June	9.1 (peak)	December	6.5

Key date: The Inflation Reduction Act was signed on **August 16, 2022**.

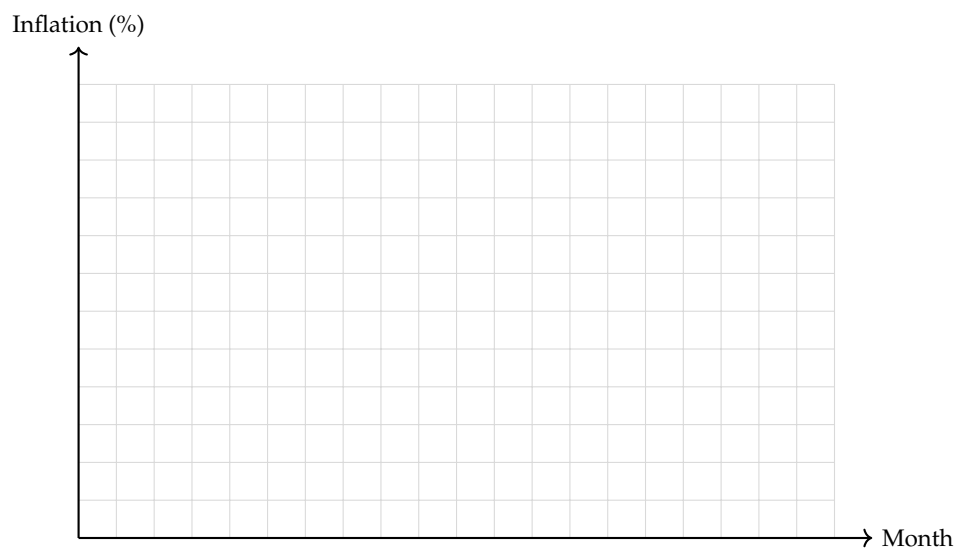
Your Task

Using the same data above, create **two graphs** that tell different stories. Quick sketches are fine—this is about framing, not art. See next page.

Graph A: "The Policy Worked!"

Create a graph that makes the Inflation Reduction Act look **as effective as possible**.

Draw Graph A here:

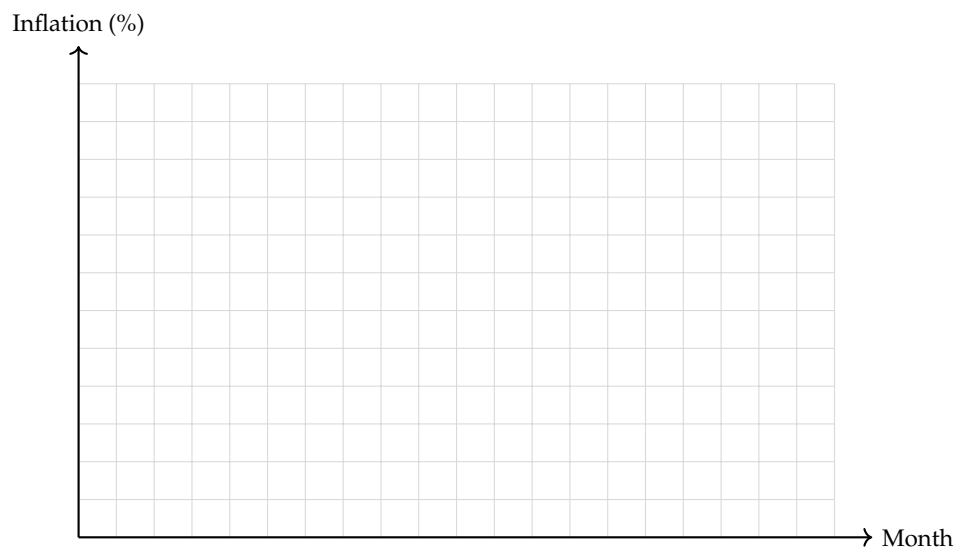


Title for Graph A: _____

Graph B: "A More Careful Look"

Create a graph that gives a **fairer, more honest** picture of the same data.

Draw Graph B here:



Title for Graph B: _____

Confounders

Confounder

A **hidden third factor** that drives both things you are comparing. It makes you think A causes B, when in reality something else (C) causes both A and B.

Even if inflation did fall after August 2022, that does **not prove** the Inflation Reduction Act **caused** the decline. List **three other reasons** inflation might have fallen (think: confounders!):

1. _____
2. _____
3. _____

Reflection

1. What makes Graph A persuasive, even though it is misleading?

2. What makes Graph B fairer?

3. What is the key lesson about how graphs shape stories?
